

SCHED. (C.)

Air Services.

Section 5.

SCHEDULE (C.)—*continued.*

Number of Vote.	AIR SERVICES, 1919-20. VOTES.	Surpluses.		Deficits made good from Surpluses.	
		£	s. d.	£	s. d.
1	Pay, &c., of the Air Force -	—		83,826	16 11
2	Quartering, Stores (except Technical), Supplies, Animals, and Transport	—		617,978	5 9
3	Technical and Warlike Stores - - - -	—		586,254	9 4
4	Works, buildings, and lands - - - -	1,190,743	8 1	—	
5	Air Ministry - - -	—		14,671	6 3
6	Miscellaneous Effective Services - - -	18,850	10 3	—	
7	Half-Pay, Pensions, and other Non-Effective Services -	—		25,270	5 11
-	Balances irrecoverable and Claims abandoned -	—		132,807	12 7
	Total - - - -	1,209,593	18 4	1,460,808	16 9
	Net Deficit - - -	£251,214 18 5			

CHAPTER 47.

An Act to impose duties of customs on certain goods with a view to the safeguarding of certain special industries and the safeguarding of employment in industries in the United Kingdom against the effects of the depreciation of foreign currencies, and the disposal of imported goods at prices below the cost of production, and for purposes connected therewith.

[19th August 1921.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom of Great Britain and Ireland in Parliament assembled, with a view

to the safeguarding of certain special industries and the safeguarding of employment in the United Kingdom against the effects of the depreciation of foreign currencies and the disposal of imported goods at prices below the cost of production, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I.

Safeguarding of Key Industries.

1.—(1) Subject to the provisions of this Act, there shall be charged, levied, and paid on the goods specified in the Schedule to this Act, on the importation thereof into the United Kingdom, duties of customs equal to one-third of the value of the goods.

Charge of
customs
duties on
goods in
Schedule.

(2) Where any other duties of customs, not being duties chargeable under Part II. of this Act, are chargeable in respect of any goods chargeable with duty under this section, duty under this section shall not be charged except in so far as the amount thereof exceeds the amount of those other duties.

(3) No duty shall be charged under this section on goods which are shown to the satisfaction of the Commissioners to have been consigned from and grown, produced or manufactured in the British Empire, and for the purposes of this subsection goods shall be deemed to have been manufactured in the British Empire which would be treated as having been so manufactured for the purposes of section eight of the Finance Act, 1919, (which relates to Imperial preference), and that section shall apply accordingly.

9 & 10 Geo. 5.
c. 32.

(4) Where an imported article is a compound article of which an article liable to duty under this section is an ingredient or forms part, no duty shall be charged under this section in respect of the compound article if the compound is of such a nature that the article liable to duty has lost its identity, and any dispute as to whether an article has lost its identity shall be determined in like

manner as disputes as to whether goods are goods specified in the Schedule to this Act.

(5) For the purpose of preventing disputes arising as to whether any goods are or are not any goods chargeable with duty under this Part of this Act, the Board may from time to time issue lists defining the articles which are to be taken as falling under any of the general descriptions set out in the said Schedule, and where any list is so issued defining the articles which are to be taken as falling under any such general description, the said Schedule shall have effect as if the articles comprised in the list were therein substituted for that general description.

Every list issued under this section shall be published forthwith in the London, Edinburgh, and Dublin Gazettes, and in such other manner as the Board think proper.

If within three months after the publication of any such list any person appearing to the Board to be interested delivers to the Board a written notice complaining that any article has been improperly included in, or excluded from, the list, the Board shall refer the complaint to the arbitration of a referee, to be appointed by the Lord Chancellor, who shall not be an official of any Government department, and the decision of the referee shall be final and conclusive, and the list shall be amended so far as is necessary in order to give effect to the decision, without prejudice, however, to the validity of anything previously done thereunder.

PART II.

Prevention of Dumping.

Power of
Board of
Trade to
apply
Part II. to
certain
goods.

2.—(1) If, on complaint being made to the Board to that effect, it appears to the Board that goods of any class or description (other than articles of food or drink) manufactured in a country outside the United Kingdom are being sold or offered for sale in the United Kingdom—

(a) at prices below the cost of production thereof as hereinafter defined; or

(b) at prices which, by reason of depreciation in the value in relation to sterling of the currency of the country in which the goods are manufactured, not being a country within His Majesty's Dominions, are below the prices at

which similar goods can be profitably manufactured in the United Kingdom;

and that by reason thereof employment in any industry in the United Kingdom is being or is likely to be seriously affected, the Board may refer the matter for inquiry to a committee constituted for the purposes of this Part of this Act:

Provided that the Board shall not so refer any matter involving a question of depreciation of currency unless they are satisfied that the value of the currency of the country in question in relation to sterling is less by thirty-three and one-third per cent., or upwards, than the par value of exchange.

(2) The Board, on referring any such matter to a committee, shall direct that the committee shall report also on the effect which the imposition of a duty under this Part of this Act on goods of any particular class or description would exert on employment in any other industry being an industry using goods of that class or description as material.

(3) If the committee report that as respects goods of any class or description manufactured in any country the conditions specified in subsection (1) are fulfilled the Board may, after taking into consideration the report, if any, made under subsection (2) by order apply this Part of this Act to goods of that class or description if manufactured in that country:

Provided that—

- (a) no order shall be made under this section applying this Part of this Act to goods of any class or description unless the committee to whom the matter has been referred under this section have reported that in their opinion production in the industry manufacturing similar goods in the United Kingdom is being carried on with reasonable efficiency and economy; and
- (b) no such order shall be made which is at variance with any treaty, convention or engagement with any foreign state in force for the time being.

(4) If at the time when it is proposed to make any such orders the Commons House of Parliament is sitting

or is separated by such an adjournment or prorogation, as will expire within one month, the drafts of the proposed orders shall be laid before that House and the orders shall not be made unless and until a resolution is passed by that House approving of the drafts either without modification or subject to such modifications as may be specified in the resolution, and upon such approval being given the orders may be made in the form in which the drafts have been approved.

In any other case an order may be made forthwith, but all orders so made shall be laid before the Commons House of Parliament as soon as may be after its next meeting, and shall not continue in force for more than one month after such meeting unless a resolution is passed by that House declaring that the orders shall continue in force, either without modification or subject to such modifications as may be specified in the resolution; and, if any modifications are so made as respects any order, the order shall thenceforth have effect subject to such modification, but without prejudice to the validity of anything previously done thereunder.

Any order approved or continued under this subsection shall have effect as if enacted in this Act.

Charge of
customs
duties on
goods to
which
Part II.
applies.

3.—(1) Subject to the provisions of this Part of this Act, there shall be charged, levied and paid on goods of any class or description in respect of which an order has been made under this Part of this Act, if manufactured in any of the countries specified in the order, on the importation thereof into the United Kingdom, in addition to any other duties of customs chargeable thereon, duties of customs equal to one-third of the value of the goods.

(2) Where goods are manufactured partly in one country and partly in another, or undergo different processes in different countries, and any one or more of those countries are countries in relation to which an order applying to the goods in question has been made under this Part of this Act, the goods shall be liable to duty under this Part of this Act unless it is proved to the satisfaction of the Commissioners that twenty-five per cent. or more of the value of the goods at the time of export to the United Kingdom is attributable to processes of manufacture undergone since the goods last left any

country in relation to which such an order has been made.

(3) An order under this Part of this Act may extend to goods brought back into the United Kingdom after having been exported therefrom for the purpose of undergoing any process out of the United Kingdom, and in such case the goods shall be deemed for the purposes of this Part of this Act to have been manufactured in the country in which they have undergone such process, but the importer shall, on proof to the satisfaction of the Commissioners of the value of the goods at the time of such exportation, and of the identity thereof, and that no drawback has been allowed thereon on the exportation thereof, be entitled to be repaid by the Commissioners such proportion of the duty paid under this Part of this Act on the goods so brought back after having undergone such process as aforesaid as represents one third of the value of the goods before exportation and of freight and insurance outwards.

4. Where an order has been made under this Part of this Act applying this Part of this Act to goods of any class or description on the ground that goods of that class or description are being sold or offered for sale in the United Kingdom at prices below the cost of production thereof, the following provisions shall have effect :—

Remission
and repay-
ment of duty
in certain
cases.

- (1) If any person by whom any duty would be payable proves to the satisfaction of the Commissioners that the goods in respect of which the duty is payable, have already been sold in the United Kingdom at a price which was not less than the cost of production the payment of duty shall be remitted.
- (2) If any person by whom any duty has been paid proves to the satisfaction of the Commissioners that the goods were on the first sale thereof within the United Kingdom sold at a price which was not less than the cost of production of the goods, or where he shows that there has been a change in the market conditions of the country of manufacture, not less than the amount which would on the date of sale have been the cost of production in that country of similar goods, he shall be entitled to repayment of the duty so paid.

- (3) No such remission or repayment of duty shall be made, unless and until there is produced to the Commissioners a declaration in the prescribed form made by the consignor of the goods stating the cost of production, at the date of the declaration, of the goods, and the country of manufacture of the goods, certified by a British consular officer, or by some other person duly authorised by the Board to give certificates for the purposes of this Part of this Act, to be to the best of his knowledge and belief a true declaration.

For the purpose of any claim to remission or repayment of duty under this section, the declaration by the consignor, duly certified by a British consular officer or other person as aforesaid, shall, unless proved to have been obtained by fraud, be conclusive evidence of the amount of the cost of production of the goods to which the declaration relates.

A certificate under this section shall be in such form and be subject to such conditions as to period of validity and otherwise as the Board may direct.

- (4) Where goods which have been charged with duty are, without being sold, used in the United Kingdom for any purpose, they shall, for the purposes of this section, be deemed on being so used to have been sold, and in such a case the sale price shall, for the purposes aforesaid, be taken to be an amount representing the price at which the goods were actually purchased from the exporter, together with freight and insurance and the amount of any import duty, other than the duty under this Part of this Act, which may have been paid in respect of the goods.

Power to
require proof
of origin of
goods.

5. It shall be lawful for the Commissioners, in the case of any goods which if manufactured in a particular country would be liable to duty under this Part of this Act, to require the importer to furnish to the Commissioners proof in the prescribed form with respect to the country of manufacture of the goods, and if such proof is not furnished to the satisfaction of the Commissioners the

goods shall be deemed to be goods manufactured in the first-mentioned country :

Provided that the Commissioners shall require such proof in the case only of goods consigned from such countries as the Board may direct.

6. Subject to such conditions as the Commissioners Exceptions. may direct for securing that the provisions of this Part of this Act shall not be evaded, this Part of this Act shall not apply to any goods which had left the place from which they were consigned to the United Kingdom not later than fourteen days after the date of the order applying this Part of this Act to goods of the class or description in question.

7.—(1) A committee for the purposes of this Part of this Act shall consist of five persons selected by the President of the Board from a permanent panel of persons appointed by him who shall be mainly persons of commercial or industrial experience. Constitution of committees.

(2) Any person whose interests may be materially affected by any action which may be taken on the report of a committee shall not be eligible for selection as a member of the committee.

(3) A committee to whom any matter is referred under this Part of this Act shall forthwith in accordance with such rules of procedure as may be prescribed inquire into the matter so referred and report thereon to the President of the Board :

Provided that the sittings of the committee at which evidence is taken shall be held in public, except that the committee shall refuse to allow the public to be present at any proceedings of the committee during the hearing of evidence on matters which, in their opinion, are of a confidential character.

8. In this Part of this Act the expression “cost of production” in relation to goods of any class or description means the current sterling equivalent of ninety-five per cent. of— Meaning of “cost of production.”

(a) the wholesale price at the works charged for goods of the class or description for consumption in the country of manufacture, subject to the

deduction of the amount of any excise or other similar internal duty leviable in that country and included in the price ; or

- (b) if no such goods are sold wholesale for consumption in the country of manufacture, the price at the works (subject to the like deduction) which would have been reasonable if the goods had been so sold, and in determining what price would have been reasonable regard shall be had to the wholesale prices charged for goods as near as may be similar.

Duration, &c.
of orders.

9. An order made under this Part of this Act shall, unless previously revoked by the Board, continue in force for three years or such less period as may be specified in the order ; but any such order may, subject to the provisions of this Part of this Act, be renewed from time to time by an order made in like manner and subject to the like conditions as the original order :

Provided that the Board shall not have power to revoke any such order either wholly or as respects any country or article to which the order relates except after reference to and consideration of any report thereon by a committee constituted under this Part of this Act, and that an order made on the ground of depreciation of foreign currency shall not be made or continue in force after the expiration of three years from the passing of this Act.

PART III.

General.

Value of
goods for
purposes
of Act.

10.—(1) The value of any imported goods for the purpose of this Act shall be taken to be the price which an importer would give for the goods if the goods were delivered to him freight and insurance paid, in bond at the port of importation, and duty shall be paid on that value as fixed by the Commissioners.

(2) If in ascertaining the proper rate of duty chargeable on any goods under this Act any dispute arises as to the value of the goods, that question shall be referred to the arbitration of a referee, appointed by the Lord Chancellor, who shall not be an official of any Government department, and the decision of the referee with

respect to the matter in dispute shall be final and conclusive.

Sections thirty and thirty-one of the Customs Consolidation Act, 1876, shall, as respects any such dispute as to value, have effect as if an application for a reference to a referee under this provision were substituted for the action or suit mentioned in those sections.

39 & 40 Vict.
c. 36.

11. If any dispute arises as to whether any goods imported into the United Kingdom are goods specified in the Schedule to this Act or in any list made by the Board under Part I. of this Act, or are goods to which an order made under Part II. of this Act applies, the question shall be referred to the arbitration of a referee, to be appointed by the Lord Chancellor, who shall not be an official of any Government department, and the decision of the referee with respect to the matter in dispute shall be final and conclusive, and sections thirty and thirty-one of the Customs Consolidation Act, 1876, shall apply as if the dispute were a dispute as to the proper rate of duty payable, with the substitution of an application for a reference to a referee under this section for the action or suit mentioned in those sections.

Determina-
tion of
disputes.

12.—(1) If it is proved to the satisfaction of the Commissioners that a duty of customs has been duly paid in respect of any goods under this Act, and the goods have not been used in the United Kingdom, a drawback equal to the amount of duty paid shall be allowed on those goods if exported as merchandise.

Supplemen-
tary provi-
sions as to
new duties.

(2) Section six of the Customs and Inland Revenue Act, 1879, shall not apply to goods liable to duties of customs under this Act, and any such goods imported into the United Kingdom after exportation therefrom shall be exempt from duty, if it is shown to the satisfaction of the Commissioners either that the goods had not been imported previously to exportation, or that no drawback of duty was allowed on exportation, or that any drawback so allowed has been repaid to the Exchequer:

42 & 43 Vict.
c. 21.

Provided that goods which have been imported and exported by way of transit under bond shall not be deemed to have been imported or exported under this provision.

Exception
for transit
goods.

13. Subject to compliance with such conditions as to security for the re-exportation of the goods as the Commissioners may impose, this Act shall not apply to goods imported for exportation after transit through the United Kingdom or by way of transhipment.

Interpre-
tation.

14.—(1) In this Act—

The expression “the Board” means the Board of Trade; and any thing authorised under this Act to be done by the Board may be done by the President, or a Secretary or Assistant-Secretary, of the Board, or by any person authorised in that behalf by the President of the Board:

The expression “the Commissioners” means the Commissioners of Customs and Excise:

The expression “prescribed” means prescribed by regulations made by the Board.

(2) This Act shall be construed together with the Customs Consolidation Act, 1876, and any enactments amending that Act, except that the Isle of Man shall not be deemed to be part of the United Kingdom.

Short title.

15. This Act may be cited as the Safeguarding of Industries Act, 1921.

Duration of
Part I.

16. Part I. of this Act shall come into force on the first day of October, nineteen hundred and twenty-one, and shall continue in force until the expiration of five years from the passing of this Act and no longer.

Sections 1
and 11.

SCHEDULE.

GOODS CHARGEABLE WITH DUTY.

Optical glass and optical elements, whether finished or not, microscopes, field and opera glasses, theodolites, sextants, spectroscopes and other optical instruments.

Beakers, flasks, burettes, measuring cylinders, thermometers, tubing, and other scientific glassware and lamp-blown ware, evaporating dishes, crucibles, combustion boats, and other laboratory porcelain.

Galvanometers, pyrometers, electroscopes, barometers, analytical and other precision balances, and other scientific instruments, gauges and measuring instruments of precision of

the types used in engineering machine shops and viewing rooms, whether for use in such shops or rooms or not.

Wireless valves and similar rectifiers, and vacuum tubes.

Ignition magnetos and permanent magnets.

Arc-lamp carbons.

Hosiery latch needles.

Metallic tungsten, ferro-tungsten and manufactured products of metallic tungsten, and compounds (not including ores or minerals) of thorium, cerium and the other rare earth metals.

All synthetic organic chemicals (other than synthetic organic dyestuffs, colours, and colouring matters imported for use as such, and organic intermediate products imported for their manufacture), analytical re-agents, all other fine chemicals (except sulphate of quinine of vegetable origin) and chemicals manufactured by fermentation processes.

CHAPTER 48.

An Act to repeal the Corn Production Acts, 1917 and 1920, to make provision as to payments under those Acts in respect of the crops of the current year, to provide funds for agricultural development, to promote the formation of joint conciliation committees for the industry of agriculture, and to make certain consequential amendments in section twelve, and to repeal subsection (1) of section fifteen of the Agriculture Act, 1920. [19th August 1921.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1. The Corn Production Acts, 1917 and 1920, are hereby repealed as from the first day of October, nineteen hundred and twenty-one :

Provided that, without prejudice to the general application of section thirty-eight of the Interpretation Act, 1889, with regard to the effect of repeals—

(a) This repeal shall not prejudice or affect the power to take any proceedings in relation to

Repeal of
Corn Pro-
duction Acts,
7 & 8 Geo. 5.
c. 46.
10 & 11 Geo. 5.
c. 76, Part I.
52 & 53 Vict.
c. 63.